

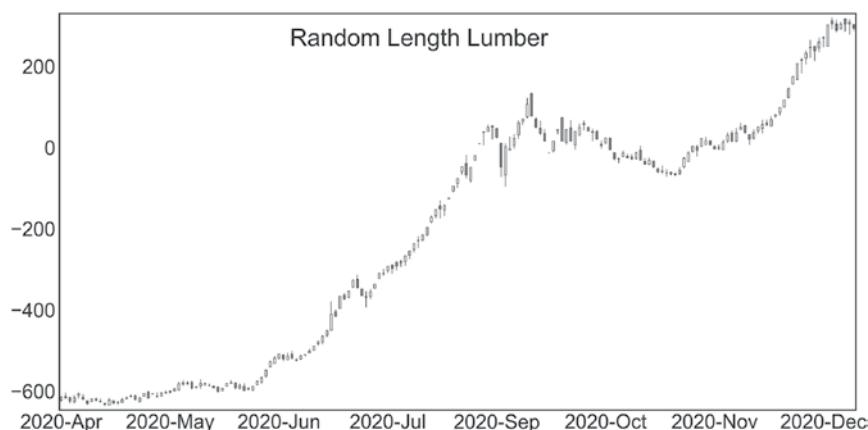


FIGURE 6.115 Lumber bull market.

15% addition to the portfolio. This was accomplished by many markets in combination, but the lumber shown in Figure 6.115 illustrates what happened. We had an incredible bull market run in the sector and the profits added up quickly. You may notice in this particular chart that the price on the y-scale goes into the negative. This is nothing to worry about, as it's just a cosmetic effect of long-term continuation charts. As mentioned earlier, I use calculated continuations in this chapter to illustrate price trends, but in the backtests as well as in real life, we trade on actual, individual contracts.

Finally, a positive year again! But as you see, we still didn't get any performance fees. Even this double-digit gain didn't push us back to the old high-water mark. We had a fund-high NAV of 865 in 2017. We're nearly there though, and just a tiny bit further, and we could get properly paid again (Tables 6.75 and 6.76). The interest income on excess capital has now gone to nearly zero and we can no longer rely on this free money. Twenty basis points is a mere rounding error in the bigger scheme of things.

TABLE 6.75 Sector results 2020

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	-1.3	17.4	-4.2	-0.2	9.4	21.1
Short	-0.8	-2.4	5.2	-0.3	-5.9	-4.2
Total	-2.6	14.8	-0.2	-1.5	2.0	12.5